Common Venture Capital Ownership and Startup Innovation
Zeyang Xue

Dicussed by Johan Hombert (HEC Paris)

ERC-DICACO Conference on the Causes and Consequences of Common Ownership

Brussels, November 2-3, 2026

Motivation

- 50% of U.S. VC-backed firms have a common VC investors with a competitor
- Corporate Opportunity Waivers (COWs) increased this share (Eldar & Grennan 2024)
- What are the effects on innovation?
- This paper considers two mechanisms: **knowledge facilitation** vs. **knowledge dampening**

Comment 1: What Does the DiD Identify?

- COW has two effects
  1. Conditional on common ownership, VCs face reduced liability
  2. Common VC ownership increases
- The DiD identifies a combination of both effects
  1. **Effect of reduced liability** on “inframarginal firms” (firms with a common owner even without COW)
  2. **Effect of common ownership** on “compliers” (firms with a common owner due to COW)
- Interpretation and policy implications are different
- Is it possible to disentangle one from the other? (more on this later)

Comment 2: Impact on Technological Similarity

- Dependent variable: $TechSim_{it} = \sum_{j \text{ connected to } i \text{ (in year } t\text{?)}} TechSim_{ijt}$
- Reduced-form DiD: $TechSim_{it} = \beta Treat_{it} \times Post_{it} + \ldots$
- How to interpret $\beta > 0$?
  (a) **The set of connected firms changes** (because VC can now invests in firms with similar technology)
  (b) **The firm's technology changes** in the direction of connected firms (because VC can now transfer knowledge)
- Suggestion: Hold the set of connected firms fixed to isolate effect (b)

Comment 3: Director Interlocks

- Triple diff: $Patent_{it} = \beta Treat_{it} \times Post_{it} \times Interlock_i + \ldots$
- $Interlock_i$: =1 if a VC director sits on the boards of both firm *i* and a connected firm ***before*** COW adoption

  (=1 even if the connected firm is not in the same industry or technology?)

- $Interlock_i$ is pre-determined $\Rightarrow$ DiD identifies the **effect of reduced VC liability** conditional on director interlocks, not the effect of an increase in director interlocks

Comment 3: Director Interlocks

- Triple diff: $Patent_{it} = \beta Treat_{it} \times Post_{it} \times Interlock_i + \ldots$
- $Interlock_i$: =1 if a VC director sits on the boards of both firm *i* and a connected firm ***before*** COW adoption

  (=1 even if the connected firm is not in the same industry or technology?)

- $Interlock_i$ is pre-determined $\Rightarrow$ DiD identifies the **effect of reduced VC liability** conditional on director interlocks, not the effect of an increase in director interlocks

$\Rightarrow$ **This suggests a method to separate the effect of common ownership versus the effect of reduced liability**

Back to Identification

$\Rightarrow$ **This suggests a method to separate the effect of common ownership versus the effect of reduced liability**

- E.g., does technological similarity to already-connected firms increase? $\Rightarrow$ Effect of reduced liability

- If the combined effect and the effect of reduced liability are identified, is it possible to estimate the effect of common ownership as the difference between the two?

Comment 4: Welfare / Redistributive Effects

- **Are there winners and losers of common VC ownership among firms?**
  - First-movers versus followers
  - Connections with VCs
- **What are the externalities?**
  - VCs maximize portfolio value, so why would they distort (portfolio-level) innovation?
  - Knowledge transfer as a threat to extract surplus from entrepreneurs?

Comment 4: Welfare / Redistributive Effects

- **Are there winners and losers of common VC ownership among firms?**
  - First-movers versus followers
  - Connections with VCs
- **What are the externalities?**
  - VCs maximize portfolio value, so why would they distort (portfolio-level) innovation?
  - Knowledge transfer as a threat to extract surplus from entrepreneurs?

Very interesting paper! Good luck with the market 